

TejasCAD

Licensing our new CAD engine to other vendors

Directors' briefing

Working brand, pending trademark clearance. ITC figures are actual; our projections are illustrative.

Purpose of this briefing

- We are replacing ActCAD's IntelliCAD foundation with **an engine we own**
- The same engine could be **licensed to other CAD vendors** under their brands
- This briefing sets out **that opportunity, its economics, and its risks**

We are seeking in-principle approval to explore it — and to open three discussions.

- **Corporate structure · Capital requirement · Team required**

Where the engineering stands

Phase 0 — six weeks, ~207 commits, 13+ releases to the ActCAD team

- **Customer DWG files open in the browser** — both WASM and ODA inWEB backends live
- **Full 14-mode osnap suite**, measurement, count, CSV and Excel export
- **250,000 entities at 61 fps** · regeneration 17× faster · instant zoom-extents
- **3D orbit, ViewCube, layouts and paper-space viewports**
- **DWG and PDF comparison**, colour plotting, batch print, markups
- **Windows MSI shipping** · macOS CI green · Android prototype
- **594 of 594 tests passing** · read-only guarantee intact

Benchmarking shows it ahead of ActCAD on many customer files, and ahead of both IntelliCAD's viewer and ODA's own.

Outstanding: customer-hardware performance baseline · public launch

Architecture for the editor

Certain ODA capabilities are not exposed through the web stack.

- **To viewer launch** — continue on the current Rust/Tauri and WASM stack
- **After launch** — **migrate the full editor to Qt and C++ native**
- provides access to the ODA surface unavailable on web
- aligns with where the ActCAD team intends to work long term
- **The web viewer** — either folds into the Qt stack or remains separate
- **to be determined with data during migration**

The platform capabilities — tenant configuration, licensing, marketplace, AI — reside in the C++ core in either case.

The opportunity

- **~40 IntelliCAD Consortium members** — regional CAD vendors on the same foundation we are leaving
- **~200 vertical ISVs** — MEP, structural, electrical, survey, solar
- **BIM-lite startups** — need a CAD foundation they cannot afford to build

What they have in common

- Paying for a foundation that **cannot deliver AI, cloud, web or mobile**
- Carrying **a million lines of source they must maintain themselves**
- **No practical alternative** short of a multi-year engine rebuild

What we pay IntelliCAD today

Membership and extras	~\$100,000 per year
Per-seat royalty to ITC	None
Component royalties (ACIS and others)	\$15–20 per sale
AI module	~\$7–8,000 per year — experimental
Android viewer	~\$8,000 per year
Mac, web application, web editor	Not available

The fee purchases source code, not a product — a codebase to staff, modify and re-merge at every version uptake.

How our offer would compare

Deliverable	~1M lines of source	A product they configure
Engine maintenance	The member's responsibility	Ours
Engine defects	Member fixes; work reaches rivals	We fix; member receives
Member's own plugins	Entangled with engine changes	Remain theirs
Release cadence	Annual, coordinated	Rolling
Platform reach	Windows	Windows, Mac, Linux, web, Android
AI	Paid add-on	Included
Licensing infrastructure	Member sources their own	Included, and platform-blind

Proposed commercial model

Three tiers

- **Core** — engine, DWG fidelity, white-label shell, licensing, AI
- **Plus** — adds web application, Mac, Android, marketplace
- **Complete** — adds our vertical modules (Arch, Mech, Elec, BIM, GIS)

MEMBER'S INSTALLED BASE	CORE	PLUS	COMPLETE
Under 5,000 seats	\$45K	\$65K	\$90K
5,000–20,000	\$80K	\$110K	\$150K
20,000–50,000	\$130K	\$170K	\$220K
50,000+	\$190K	\$240K	\$300K

- **Phased at 50 / 75 / 100%** across the member's migration years
- **Component royalties passed through at cost · AI metered above an allowance**

Financial outlook

	CONSERVATIVE	BASE	AGGRESSIVE
Members by year 7	5	12	20
Average fee	~\$70K	~\$110K	~\$170K
Recurring revenue	~\$425K	~\$1.7M	~\$4.3M
Contribution	~\$290K	~\$1.2M	~\$3.1M
Indicative value at 6–8×	—	~\$10–13M	~\$26–34M

A profitable adjacent business line. Not a venture-scale outcome.

- Revenue accrues **in addition to ActCAD**, from engineering already funded
- Materially larger scale would require **60–100 members**, direct distribution, or the 3D product

Investment required

STAGE	TIMING	AMOUNT
Promoter seed	Now to year 2	\$1–2M
Strategic round <i>(optional)</i>	Years 4–5	\$5–10M
Exit	Years 6–7	\$30–50M target

- The seed is **the increment on an engine already funded** — not its full cost
- A strategic investor at years 4–5 would **establish a valuation floor** ahead of any sale
- At ~70% margins the business **self-funds from year 3**

Two options

Engineering	Same	Same
Timeline	~24 months to GA	Unchanged
Additional cost	—	3–6 engineer-months
Revenue	ActCAD alone	Plus member fees and royalties
Asset at exit	One product	Two separable assets
Complexity	Lower	Second entity, partner obligations

Recommendation: build the platform capability now, and decide on commercialisation at month 24.

- The multi-tenant architecture **improves ActCAD in its own right**
- Retrofitting it later would mean **reworking six of ten modules**

Principal risks

RISK	HOW WE WOULD MANAGE IT
Management attention diverted from ActCAD	Platform work is scoped and time-boxed; ActCAD GA remains the priority
Demand unproven — no members, no LOIs	Month-24 gate; no entity or obligations before it
Team must be recruited	Required for ActCAD regardless; platform shares the cost
Member roadmap influence	Members advise; they do not hold a vote
Licensing verticals to potential competitors	Named-competitor exclusion, or the tier is simply not offered
Consortium members are slow to move	Base case assumes 12 members over seven years
Returns are modest	Presented as an adjacent line, not a growth story

Governance and review gates

POINT	TEST	IF NOT MET
Month 12	8–10 qualified member conversations held	Outbound stops; engineering continues
Month 24, at ActCAD GA	Two members at signed LOI	Commercialisation does not proceed
Before any vertical-tier sale	No conflict with ActCAD's own markets	Tier withheld from that member

If the month-24 gate is not met, the exposure is 3–6 engineer-months of architecture we would adopt for ActCAD in any case.

Decisions requested

In-principle approval to proceed with exploration

And to open three discussions

- Corporate structure
- Capital requirement
- Team required

No capital commitment, incorporation, external communication, or change to ActCAD's operations is sought today.